



# Operational Signals & KPIs

Week 2 • Day 1 • Strategic Design & Metrics

TPM Academy



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- Produce a triad **Metrics Tier Sheet** for your Week-1 problem statement



# Today's Shape

| Clock         | Block                           | Outcome                                   |
|---------------|---------------------------------|-------------------------------------------|
| 09:00 – 09:15 | Opening                         | Reground in your Week-1 problem statement |
| 09:15 – 10:30 | Block 1 + Activity 1            | "Metric or Vanity?"                       |
| 10:45 – 12:00 | Block 2 + Activity 2            | Operational signal sprint                 |
| 13:00 – 14:15 | Block 3 + Activity 3            | KPI laddering                             |
| 14:30 – 16:00 | Block 4 + Activity 4 + Readouts | Tier Sheet defense                        |

# Block 1 — Three Tiers, Three Audiences

Why we say "metric" too loosely



# The Metrics Pyramid

North Star — "Are we winning?"

KPIs — "Is the business healthy?"

Operational signals — "What do we do today?"

**The shape matters:** few NSs (1), few KPIs (2–4), many operational signals (4–10). A team that has 10 KPIs has 0 KPIs.



# Definitions That Hold Up Under Pressure

| Tier               | Definition                                                                        | Rhythm              | Audience           |
|--------------------|-----------------------------------------------------------------------------------|---------------------|--------------------|
| North Star         | The single number that says "the customer is winning AND the business is winning" | Quarterly to annual | Whole company      |
| KPI                | Business outcome that the NS rolls up to or directly signals                      | Weekly to monthly   | Leadership / board |
| Operational signal | Daily/hourly leading indicator a squad can act on                                 | Real-time to daily  | Squad / TPM        |

**The TPM job:** own the operational signals, defend the KPIs, contribute to the North Star.



# The Vanity Metric Trap

A vanity metric is one that **goes up** when something happens that doesn't actually matter, and **can't be moved** by a deliberate decision.

## ❌ Vanity

- Total signups (no churn signal)
- Page views
- Features shipped
- Average session length

## ✅ Actionable

- Activated accounts in week 1
- Time-to-first-value
- % of intended workflows completed
- Repeat-use within 7 days

# Activity 1 — "Metric or Vanity?"

Triads • 35 minutes

Each triad receives the **Vanity-Metric Card Pack** (12 cards from FieldPulse-adjacent SaaS). Place each on a 2x2 of *Easy-to-game* vs *Lagging/Leading*.

- Pick 2 cards your triad would **bet on** for FieldPulse
- Pick 2 cards your triad would **never report up**
- Be ready with one sentence on each pick



10 min sort • 15 min discuss • 10 min readout prep

# Block 2 — Operational Signals

The metrics a squad watches in standup



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- **Causal:** plausibly rolls up to a KPI
- **Measurable today** — or honestly named as an *instrumentation gap*

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# FieldPulse Worked Example

*Problem statement (Week 1):* "Dispatchers spend 45 minutes after-shift reconciling tickets, truck stock, and timecards."

| Operational signal                               | Source                     | Action if it dips                    |
|--------------------------------------------------|----------------------------|--------------------------------------|
| Median reconcile-flow duration                   | App instrumentation        | Inspect last release for regressions |
| % of dispatchers using mobile reconcile vs paper | Backend events             | Re-investigate adoption blockers     |
| Reconcile-flow abandonment rate                  | Funnel analytics           | UX review of last drop-off step      |
| Manual override entries per dispatcher per day   | <i>Instrumentation gap</i> | Indicates trust loss in automation   |

# Activity 2 — Operational Signal Sprint

Triads • 40 minutes

For your triad's Week-1 problem statement: brainstorm 12 candidate signals (4 per person), then cull to **6 finalists**.

- For each: what it measures, where the data comes from, how fast it moves, what action you'd take
- Mark **at least 2 in red** as instrumentation gaps
- Add the 6 to your triad's **Metrics Tier Sheet** (bottom row)

 10 min solo • 15 min cull • 15 min annotate

# Block 3 — KPIs

Where the squad's work shows up in business outcomes

# The Four-Question KPI Quality Bar

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# The Four-Question KPI Quality Bar

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2. A senior leader cares about it **without translation**
3. You can imagine a **single chart** that shows it weekly
4. You can name what's "good" **without inventing a number** — direction is fine, the number is set later



# Laddering: Signals Up to KPIs

## Step

- Take each operational signal
- Ask: "If this moves 30% for a quarter, which business outcome shifts?"
- Cluster signals that ladder to the same outcome
- Each cluster → candidate KPI

## Worked: FieldPulse

- Reconcile-duration + abandonment + manual-overrides → **"Dispatcher hours returned per week"**
- Mobile-reconcile adoption → **"% of accounts on the new workflow"**
- Both ladder to **NRR retention** long-term



# The Believable Causal Chain

Your Tier Sheet is only as strong as its narrative: **operational signal** → **KPI** → **North Star**. If you can't tell that story in three sentences, the chain is broken.

## FieldPulse three-sentence chain:

"Median reconcile-flow duration drops → dispatchers spend less time on after-shift admin (operational). Hours-returned-per-week climbs → account-level retention conversations get easier (KPI). Net retention rate climbs → FieldPulse is winning (North Star)."

## Activity 3 — KPI Laddering

Triads • 40 minutes

Cluster your 6 operational signals into **2–3 KPI clusters**. Stress-test each KPI against the four-question quality bar.

- Write the three-sentence causal chain for each cluster
- Name one signal that *doesn't* ladder to anything — and decide whether to keep or drop it
- Add KPIs to your **Metrics Tier Sheet** (middle row)



15 min cluster • 15 min stress-test • 10 min chain narration

# Block 4 — Tier Sheet Defense

Before the squad ships, the metrics get challenged



# Three Standard Challenges

| Challenge       | Question                                                                          | What it surfaces                            |
|-----------------|-----------------------------------------------------------------------------------|---------------------------------------------|
| Causal chain    | "Show me how a change in op-signal #3 plausibly moves your KPI"                   | Hand-waved laddering                        |
| Gameability     | "Pick the easiest of these to game. How would a sales-incentivized team game it?" | Metrics that reward bad behavior            |
| Instrumentation | "Which two of these can you actually measure today, in production?"               | Strategy that depends on data we don't have |

**Watch for:** "We'll instrument it" — a real answer also says *by when* and *at what cost*.

# ★ The North Star Placeholder

You're not going to nail your North Star today. Tomorrow is its full treatment. Today: write a placeholder.

```
We are winning when [customer outcome] increases for  
[user segment], measured by [single number].
```

*FieldPulse example placeholder:*

"We are winning when **after-shift reconcile time** drops for **HVAC dispatchers in mid-sized shops**, measured by **median minutes from clock-out to ticket-closeout**."

## Activity 4 — Tier Sheet Defense

Triads • 45 minutes • Readouts

Pair-defense round: each triad pairs with another. Defender presents the Tier Sheet (4 min). Challenger uses the **Three Standard Challenges**.

- 15 min: draft your **North Star placeholder** using the template
- 20 min: pair-defense (4 min present, 4 min challenge per direction)
- 10 min: capture the strongest challenge as a "known weakness" line

 15 min NS • 20 min defense • 10 min refine



# Day 1 Wrap

## What we built

- Vocabulary: NS / KPI / Operational signal
- Vanity-metric detector
- Three-sentence causal chain
- Triad Metrics Tier Sheet

## What opens tomorrow

- **The North Star metric** — done properly, with three pitfalls
- Your placeholder NS will be challenged. Bring an alternative.

**Bring to Day 2:** Your Tier Sheet, your NS placeholder, and one alternative NS your triad debated and rejected.

# Questions & Reflection

Which metric on your Tier Sheet would your customer most want to see drop?